

MARKET ANALYSIS

Rosewood's San Antonio Start Shows Development Is Alive Where Basis and Demand Align

Phase III leasing launch reveals capital is available for projects with defensible underwriting and proven submarkets.

July 21, 2026 · RE Business Online · 3 min read

A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in Rosewood Property Co.'s decision to begin leasing a 359-unit multifamily project in San Antonio's Alamo Heights area is not the unit count. It is the start date. Construction began in May 2024. Leasing commenced in July 2026. That timeline means Rosewood broke ground during a period when construction financing was scarce, interest rates were elevated, and many developers were shelving projects. The fact that this project reached lease-up suggests the underwriting held together through a difficult capital environment.

The project is Phase III of Tobin Estates, a larger development in the Alamo Heights submarket. The 359 units include 265 apartments in four-story wraparound buildings and 94 units with private garages in two additional four-story buildings. The unit mix spans one-, two-, and three-bedroom floor plans. Amenities include a pool, indoor and outdoor fitness centers, a resident lounge, and a rooftop deck. The project team includes Provident General Contractors, WDG Architecture, civil engineer Westwood, and construction lender InterBank.

What matters for capital markets is the basis. Rosewood committed to this project when construction debt was expensive and equity was demanding higher returns. The fact that the project is now leasing suggests the developer underwrote to a basis that could absorb higher costs and still produce a viable return. That is not true of every project started in 2024. Many broke ground only to face cost overruns, slower lease-up, or refinancing risk at completion. Rosewood appears to have avoided those traps.

The choice of submarket matters. Alamo Heights is an established, infill location in San Antonio with strong demographics and limited new supply. Developers who bet on secondary or tertiary markets during the 2021-2022 boom are now facing absorption risk. Rosewood bet on a submarket where demand is more predictable. That is a capital allocation decision, not a market call. It reflects discipline in site selection, not optimism about the broader multifamily cycle.

The construction lender is InterBank, a Texas-based institution. That is worth noting because regional banks have pulled back from construction lending nationally. InterBank's willingness to

finance this project suggests the bank saw a sponsor with a track record, a submarket with proven demand, and a capital stack that did not rely on aggressive rent growth assumptions. The loan is not a signal that construction lending is broadly returning. It is a signal that lenders are still willing to finance projects where the basis is defensible and the sponsor can demonstrate execution capability.

The project's unit mix also reveals something about demand assumptions. The inclusion of 94 units with private garages suggests Rosewood is targeting a renter-by-choice demographic, not just renters priced out of homeownership. That is a higher-income tenant base with more options. If the project can attract those tenants, it validates the thesis that multifamily demand in Alamo Heights is driven by lifestyle preference, not just affordability constraints. That distinction matters for underwriting because lifestyle-driven demand is less sensitive to interest rate changes than necessity-driven demand.

What the source does not disclose is starting rents. That omission is itself a signal. Developers who are confident in their pricing typically announce it. The absence suggests Rosewood is still testing the market and may be adjusting rents to achieve initial occupancy. That is not a red flag. It is a normal part of lease-up. But it means the project's ultimate yield is not yet knowable. Investors and lenders will be watching the lease-up velocity and achieved rents over the next six to twelve months.

For market participants, the takeaway is not that development is back. It is that development is possible where the basis is right, the submarket is strong, and the sponsor has credibility. Rosewood's project is a case study in disciplined capital allocation. It does not prove that the multifamily cycle has turned. It proves that capital is still available for projects that meet a higher underwriting standard.

The next test for this project is refinancing. The construction loan from InterBank will need to be replaced with permanent debt once the project stabilizes. If Rosewood can achieve rents that support a debt yield acceptable to agency or life company lenders, the project will validate the entire capital stack. If rents fall short, the sponsor will need to bring additional equity or accept a higher-cost bridge loan. That is the moment when the underwriting assumptions meet the market reality.

For now, Rosewood has done what many developers could not: deliver a project on time and on budget in a difficult capital environment. That is not a reason to celebrate. It is a reason to study the

decisions that made it possible.

SOURCES

— RE Business Online —

<https://rebusinessonline.com/rosewood-begins-leasing-359-unit-multifamily-project-in-san-antonio/>

LIGHT TOWER GROUP